India too played an active role in peacemaking efforts while expanding its economic relationship with Baghdad. Special peace envoys were sent to both Iran and Iraq a month after the invasion. The then foreign secretary, R.D. Sathe, made a secret trip to Tehran and Romesh Bhandari, the then secretary in the MEA, was sent to Baghdad to broker peace between the two neighbours as India had close and longstanding ties with both countries. The Iranians, however, were in no mood to reconcile. On 14 March 1981, the Iranian Prime Minister Mohammad-Ali Rajai said that the victory of the Iranian revolution depended upon the victory of Iran in war and defeat to Iraq meant the defeat of the revolution. R&AW spies reported that even while the peace committee's efforts to resolve the conflict continued, Iranian planes bombarded Nasiriyah and Kirkuk in Iraq. Apart from damage to the power station in Nasiriyah, four people, including a Russian national, were killed and several others were injured.

Rajai's rejection of the peace settlement led to a hardening of the Iraqi attitude. Saddam Hussein reaffirmed that Iraq would not withdraw its troops unless its sovereignty over the Shatt-al-Arab (the area surrounding the Tigris and the Euphrates rivers) was recognised along with the furnishing of legal and practical guarantees. The R&AW reported that Ahvaz, a city in southwest Iran, was subjected to a heavy artillery attack on 10 March 1981 and people were reportedly leaving the town. Saddam Hussein had declared that Iraq would soon take over Ahvaz and other cities and the R&AW anticipated that this power struggle might assume considerable significance.

The spies' forecast was prophetic. The conflict continued for another eight years, ending only in 1988. Informers pointed out that the power tussle was not limited to battlefields but had